Deal Tearsheet: T.rex AI

Company
Name: T.rex AI
URL: http://www.trex-ai.ca/

CEO
Name: Daniel May
Email: daniel@trex-ai.ca
Phone:
LinkedIn: https://www.linkedin.com/in/dcmay/

Description
T-Rex AI develops software that runs directly on next-generation smart meters (AMI 2.0) to provide utilities with real-time forecasting and orchestration of electricity demand. The platform enables utilities to increase grid capacity and reliability without building new infrastructure by optimizing demand at the edge. The core offering combines load forecasting, flexibility forecasting, and real-time orchestration into a single AI-driven system.

Status
Solution: Pilot stage (8 total for this year - 5 committed and 3 in the pipeline) for digital twin study simulations. Targeting to have their ALEX software on a physical meter by the end of this year.

Revenue: ~$800K+ this year from pilots and vendor partnerships; revenue is time-based and not yet recurring SaaS

Market
Location: North America (initial focus US + Canada)
Vertical: Energy infrastructure / utility software (AI + grid orchestration)

Summit/Investor Team
Lead(s): Wayne Viegas
Others: Mitchell Eaton, Dave Bohne, Veronica Garth, Jerry Bouma, Craig Gardiner, Randy Duguay

Funding

Raising: $2M USD at a $12M USD post money valuation cap
Soft commitments:

- ~$250K (Panache)
- ~$150K (Innovobot)

Additional non-dilutive support:

- EDMI partnership (~$500K for 5 paid pilots)

Runway: ~12–18 months currently; ~24 months with raise

Targeted Milestones with Funding (for Series A)

1. Successful deployment of ALEX software on at least 2 different AMI 2.0 smart meter platforms
2. Demonstrate real-time orchestration on live physical utility environments
3. Transition from pilot/consulting revenue → recurring per-meter SaaS revenue
4. Build pipeline of multiple utilities and meter vendors

Top Three Needs to Make This Happen

1. Convincing utilities that have participated in a pilot study to proceed to the subsequent phase of a physical lab and/or field trial
2. Proving the ALEX software can work on physical meters and at scale
3. Additional technical hires (cyber security, front end/backend engineers)

Founder(s)
The founding team consists of three technically deep founders with backgrounds in AI (reinforcement learning) and power systems, working together since ~2017 and formalizing the company in 2021.

Strengths:

- Strong first-principles understanding of both AI and grid systems
- Early movers in applying RL to grid orchestration
- High conviction and long-term commitment

Weaknesses:

- Limited commercial/scaling experience at current stage
- Heavy technical bias; scaling GTM and operations is still developing

Team

5 total team members currently - wanting to grow to 7 total

3 founders (Daniel, Peter, and Steven)

+2 additional team members hired through AMII Machine Learning Intern Program and IRAP grant:

- Ops architect (scaling + infra)
- ML resident (reinforcement learning)

Looking to hire 2 more resources:

- Cyber security
- Frontend/backend engineer or 2 backend engineers

Technical advisor (ex-Itron platform architect)

Characteristics:

- Engineering-heavy team
- Simultaneously handling tech, partnerships, and sales

Key gaps:

- Sales / enterprise BD
- Deployment / integration specialists
- Customer success / implementation roles

Velocity

- Rapid recent progress in last ~6–12 months
- Secured multiple pilots across US and Canada
- Closed ~$500K+ in pilot revenue within a short timeframe ($300K additional in pipeline)
- Established strategic vendor partnership (EDMI)

Constraints:

- Progress gated by:
    - Small team bandwidth
    - Utility sales cycles (slow)

Overall:

- High velocity relative to team size, but constrained by limited resources to meet pilot demand

Market

- ~50M AMI 2.0 smart meters expected in North America by 2030 and ~110M by 2035
- Major AMI 1.0 upgrade wave currently underway with the peak projected around 2030
- AMI 1.0 replacement cycles: ~15–20 years

Drivers:

- AMI 1.0 hardware replacements
- Electrification (EVs, batteries)
- Data center demand

Utilities shifting from:

- CapEx expansion → optimization of existing infrastructure

Traction

- ~$800K+ in pilot contracts ($500k committed and $300k in pipeline)
- ~5 initial pilots via EDMI + 3 additional utility pilots
- Targeting ~8 pilots this year

Key traction signals:

- Paid utility pilots (not purely exploratory)
- Meter vendor (EMDI) funding + compute support
- Multiple leads with additional utilities and meter vendors
- Rejected 2 separate EDMI offers to buy T.rex AI for $40M and for $1.5M for 5% of the company

Limitations:

- Revenue not yet recurring
- No large-scale meter deployment yet

Competition

- Fragmented landscape:
    - Virtual Power Plants focusing on cloud based communications (high latency)

No clear direct competitor:

- Offering forecasting + flexibility + orchestration in one runtime at the compute constrained edge

Potential competitors:

- Smart meter OEMs (Itron, Landis, etc.)
- Utilities building in-house solutions
- Large grid software providers

Why Now

Several converging factors create strong timing:

1. Smart Meter Upgrade Cycle (AMI 2.0)
    - Massive infrastructure rollout underway
2. Grid Capacity Crisis
    - Utilities cannot build fast enough due to supply constraints
    - Forced to optimize existing infrastructure
3. AI / Reinforcement Learning Maturity

    - Technology now capable of solving real-time orchestration problems
4. Shift in Utility Priorities
    - Utilities all agree orchestration is coming it's just a matter of how and when
    - Utilities have already begun releasing RFPs for Advanced Meter Intelligence proposals
    - Utilities are not happy being locked into a single meter vendor. They are looking for vendor agnostic software providers.

Deal Terms Summary:

Investment

- SAFE Standard Y Combinator terms at a $12M USD post money valuation cap - no discount
- Most Favoured Nation clause included
- $2M raise

Summary of Deal:

- Capital allocated toward:
    - Hiring additional engineers (cyber security and front end/back end engineers)
    - Compliance (SOC 2 certification)
    - Compute infrastructure

Notable:

- Raise is for acceleration, not survival
- Team has 12-18 months runway without funding

Additional Notes:

Service Charge Estimates (SAAS revenue once pilots have been proved and ALEX is physically on meter in the field)

Load forecasting: $2.88 / meter-year (eligible on 100% of deployed AMI 2.0 meters)

Flexibility forecasting: $8/ meter-year (enabled only on eligible premises where flexibility exists)

Flexibility orchestration: $24/ meter-year (enabled only on orchestration-eligible premises/programs)

Assuming: 25% take rate of generated value, a 20% platform fee

End-user adoption:

- Opt-in model
- Incentivized through bill savings (~$30/month example)

(For Startup TNT Lead Use Only)

Investment Document Checklist

- Capitalization (CAP) Table (upload into company folder)
- Ensure you have reviewed:
    - Capitalization clause - identify if this is a standard Pre or Post
    - Valuation/valuation cap
    - Discount
    - Interest rate?
    - Trigger for conversion / maturation date?
    - MFN present or not
    - Pro Rata side letter or not
    - Information Rights letter or not
- Comparison of Changes between Deal Terms (upload into company folder)
  Using Draftable.com, compare the deal terms provided with our template documents (Startup Template Deal Docs). ***Make sure you save and highlight the differences between the documents or note if the documents haven't changed.***
- Banking Information - make sure this is readily available
- Side Letter(s) / Special Clauses
    - Ensure these are documented (some items above can be included within this)